investment that allows you to buy the index stocks in the same proportion will give you index returns. You also get the benefit of the dividends declared and the bonus shares issued as you hold the index. Therefore the super returns over time.

Long ago when I was editing *Outlook Money* I set out to do one exercise. We were used to taking point to point returns of the Sensex – that is, we pick a date and see what the return was one year back, two years back, ten years back, twenty years back and so on. But what if the date we pick is a day when the market is really high? Will we not get inflated returns? What if it is the lowest in the year?

I wanted to track an investment in the Sensex on a given day in a year in the past thirty years across various time periods. Suppose you invested Rs 1 lakh in the Sensex on 1 January 1980 and then held that investment for one year. You did the same on 2 January 1980 and held that for one year. Then you bought on 3 January and held for one year … and you went on doing this for thirty years. There were days when you bought when the market was very low and your money more than doubled in a year. There were days on which you bought very high and your money halved in a year.

Now do the same exercise with a holding period of two years. You buy on 1 January 1980 and hold for two years. You buy on 2 January and hold for two years … you do this across thirty years. Your maximum return and maximum loss are now lower than your previous experience. Do this exercise for a five-year holding period. Then ten, then twelve, thirteen, and so on.

Around year seven you begin to get a very interesting result: the volatility of returns begins to reduce and the average return is about 14–15 per cent a year. Depending on a number of factors, the year at which the minimum return is positive is between seven and ten years. I finally had evidence on long-term investing!

I remember starting the process at about 2 p.m. in the afternoon. Next when I looked up, it was dark outside. It was extensive figure work, but the amazing results made me even more determined to bring equity exposure to middle-class India's money and end its dependency on gold, real estate and FDs.